

Business Insights			
#	Business Insight	Evidence from Analysis	Business Meaning
1	Contract type is strongly associated with churn	Month-to-month churn is 42.71%, compared with 11.27% for one-year and 2.83% for two-year contracts	Customers with less contractual commitment are substantially more likely to leave
2	New customers are the highest-risk group	Churn is 47.44% for 0–12 months compared with 6.61% for 61–72 months	The first year is the critical period for retention
3	Fiber optic customers have unusually high churn	Fiber optic churn is 41.89% , compared with 18.96% for DSL	The company should investigate the fiber customer experience, pricing, and service quality
4	Additional services are associated with lower churn	Customers without Online Security churn at 41.77% , versus 14.61% with it; Tech Support shows 41.64% vs 15.17%	Additional services may be associated with stronger customer engagement/value
5	Electronic-check customers have the highest churn	Electronic check churn is 45.29% , compared with 15.24% for automatic credit card	Payment method identifies a particularly high-risk customer segment

Business Risks	
Risk 1: High early-stage churn	Customers within their first year have a 47.44% churn rate. If this continues, the business risks losing customers shortly after acquisition, reducing customer lifetime value and potentially increasing the cost of replacing lost customers.
Risk 2: Large exposure to month-to-month customers	Month-to-month customers represent approximately 55% of the customer base and have a 42.71% churn rate. This creates significant exposure because the company has both: a large customer segment + high churn rate.
Risk 3: Concentrated high-risk segments	Several identifiable groups have particularly high churn: • Electronic check → 45.29% • 0–12 months tenure → 47.44% • Month-to-month → 42.71% • Fiber optic → 41.89% • No Tech Support → 41.64% The risk is that these characteristics may overlap, meaning some customers could belong to multiple high-risk categories simultaneously.

Business Opportunities	
Opportunity 1: Improve first-year retention	Develop a dedicated new-customer retention programme targeting customers in their first 12 months. Potential actions: • structured onboarding • 30/60/90-day check-ins • proactive customer support • early dissatisfaction surveys • targeted retention offers
Opportunity 2: Increase appropriate adoption of longer-term contracts	The difference between: 42.71% month-to-month churn and 2.83% two-year churn creates an opportunity to investigate whether suitable month-to-month customers can be encouraged toward longer-term contracts. This should be done through value-based incentives, rather than simply making contracts harder to leave.
Opportunity 3: Increase adoption of value-added services	Customers without Online Security and Tech Support have churn rates above 40%, while customers with these services have substantially lower churn. Management could test targeted bundles such as: Internet + Security + Support Or Internet + Backup + Device Protection The important word here is test. The company should measure whether increasing service adoption actually reduces churn before rolling out a large programme.

Executive Summary of Recommendations			
#	Recommendation	Target	Key Measure
1	Introduce first-year retention programme	0–12-month customers	Reduce early-stage churn
2	Encourage suitable customers to adopt longer contracts	Month-to-month customers	Conversion and subsequent churn
3	Investigate fiber optic churn	Fiber customers	Reduction in fiber churn
4	Test value-added service bundles	Customers without additional services	Payment-related issues and churn
5	Improve electronic payment experience	Electronic-check customers	Payment method identifies a particularly high-risk customer segment
6	Establish recurring churn dashboard	Management	Monthly churn monitoring

Management should prioritize customer retention during the first 12 months, where churn is highest, while developing targeted strategies for month-to-month, fiber optic and electronic-check customers. The business should investigate the factors contributing to high churn within these segments rather than assuming that individual characteristics directly cause customer loss. Management should also test targeted value-added service bundles and incentives for suitable customers to adopt longer-term contracts. Finally, a recurring churn dashboard should be implemented to monitor high-risk segments and measure whether retention initiatives are delivering sustainable improvements.